AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

ACC204

Intermediate Financial Accounting

Mid-term Examination
First Semester 2025-2026

6 – December – 2025

Number of Pages: 3 (including this cover sheet)	**Time Allowed: 90 minutes**

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Instructions:

Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
This is a **CLOSED** book examination. NO documents of any kind are allowed.
You **MUST** answer the questions using only the answer booklets provided.
You **MUST** return the examination paper together with your answer booklets.
Do **NOT** write your answers in pencil except graphs/sketches.
Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination.
Students are allowed to use ***non-programmable*** calculators only (if needed).
Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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- **Question 1 (24 marks):**

a. One type of share compensation plan that companies may offer is a share option. Briefly describe what a share option means and mention 4 characteristics of effective share compensation plans. (10 marks)

b. There are different types of dividends that companies distribute to their shareholders, name and explain in brief 4 types and state the effect of each on equity. (14 marks)

- **Question 2 (40 marks):**

Preston Inc., has $200,000 of 6% preference shares and $800,000 of ordinary shares outstanding. No dividends have been paid or declared during 2021 and 2022. As of December 31, 2023, Rensing Inc. is to distribute $100,000 in dividends.

Required:
How much will the preference and ordinary shareholders receive under each of the following assumptions:

a. The preference is noncumulative and nonparticipating.
b. The preference is cumulative and nonparticipating.
c. The preference is noncumulative and fully participating.
d. The preference is cumulative and fully participating.

- **Question 3 (36 marks):**

Camping Company issues 10,000 convertible bonds on January 1, 2017, with a term of 4 years, and interest of 3% payable every December 31. The convertible bonds are issued at par, with a face value $100 for each bond. Each bond can be converted into 25 ordinary shares at a par value of $3 each. When the bonds were issued the market interest rate of similar bonds was 5%.

Required:

a. Using the with-and-without method, calculate the liability and equity component as of January 1, 2017.
b. Prepare the Schedule of Bond Amortization for the first two years of the bond's life (up to and including the second payment on December 31, 2018).
c. Record the journal entry for the issuance of the convertible bonds.
d. Record the journal entry for the repurchase of the convertible bonds at the date of maturity.
e. Ignoring the above, record the journal entry for conversion of the 10,000 bonds on December 31, 2017.

[End of Questions]

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Table 1: Present Value of $1 where PV = 1 / (1 + r)^n

Periods (n)	Interest Rate (r)									
	1%	2%	3%	4%	5%	6%	7%	8%	9%	10%
1	0.9901	0.9804	0.9709	0.9615	0.9524	0.9434	0.9346	0.9259	0.9174	0.9091
2	0.9803	0.9612	0.9426	0.9246	0.9070	0.8900	0.8734	0.8573	0.8417	0.8264
3	0.9706	0.9423	0.9151	0.8890	0.8638	0.8396	0.8163	0.7938	0.7722	0.7513
4	0.9610	0.9238	0.8885	0.8548	0.8227	0.7921	0.7629	0.7350	0.7084	0.6830
5	0.9515	0.9057	0.8626	0.8219	0.7835	0.7473	0.7130	0.6806	0.6499	0.6209
6	0.9420	0.8880	0.8375	0.7903	0.7462	0.7050	0.6663	0.6302	0.5963	0.5645
7	0.9327	0.8706	0.8131	0.7599	0.7107	0.6651	0.6227	0.5835	0.5470	0.5132
8	0.9235	0.8535	0.7894	0.7307	0.6768	0.6274	0.5820	0.5403	0.5019	0.4665
9	0.9143	0.8368	0.7664	0.7026	0.6446	0.5919	0.5439	0.5002	0.4604	0.4241
10	0.9053	0.8203	0.7441	0.6756	0.6139	0.5584	0.5083	0.4632	0.4224	0.3855
11	0.8963	0.8043	0.7224	0.6496	0.5847	0.5268	0.4751	0.4289	0.3875	0.3505
12	0.8874	0.7885	0.7014	0.6246	0.5568	0.4970	0.4440	0.3971	0.3555	0.3186
13	0.8787	0.7730	0.6810	0.6006	0.5303	0.4688	0.4150	0.3677	0.3262	0.2897
14	0.8700	0.7579	0.6611	0.5775	0.5051	0.4423	0.3878	0.3405	0.2992	0.2633
15	0.8613	0.7430	0.6419	0.5553	0.4810	0.4173	0.3624	0.3152	0.2745	0.2394

Table 2: Present Value of $1 Annuity where PV = [1 - (1 + r)$^{-n}$] / r

Periods (n)	Interest Rate (r)									
	1%	2%	3%	4%	5%	6%	7%	8%	9%	10%
1	0.9901	0.9804	0.9709	0.9615	0.9524	0.9434	0.9346	0.9259	0.9174	0.9091
2	1.9704	1.9416	1.9135	1.8861	1.8594	1.8334	1.8080	1.7833	1.7591	1.7355
3	2.9410	2.8839	2.8286	2.7751	2.7232	2.6730	2.6243	2.5771	2.5313	2.4869
4	3.9020	3.8077	3.7171	3.6299	3.5460	3.4651	3.3872	3.3121	3.2397	3.1699
5	4.8534	4.7135	4.5797	4.4518	4.3295	4.2124	4.1002	3.9927	3.8897	3.7908
6	5.7955	5.6014	5.4172	5.2421	5.0757	4.9173	4.7665	4.6229	4.4859	4.3553
7	6.7282	6.4720	6.2303	6.0021	5.7864	5.5824	5.3893	5.2064	5.0330	4.8684
8	7.6517	7.3255	7.0197	6.7327	6.4632	6.2098	5.9713	5.7466	5.5348	5.3349
9	8.5660	8.1622	7.7861	7.4353	7.1078	6.8017	6.5152	6.2469	5.9952	5.7590
10	9.4713	8.9826	8.5302	8.1109	7.7217	7.3601	7.0236	6.7101	6.4177	6.1446
11	10.3676	9.7868	9.2526	8.7605	8.3064	7.8869	7.4987	7.1390	6.8052	6.4951
12	11.2551	10.5753	9.9540	9.3851	8.8633	8.3838	7.9427	7.5361	7.1607	6.8137
13	12.1337	11.3484	10.6350	9.9856	9.3936	8.8527	8.3577	7.9038	7.4869	7.1034
14	13.0037	12.1062	11.2961	10.5631	9.8986	9.2950	8.7455	8.2442	7.7862	7.3667
15	13.8651	12.8493	11.9379	11.1184	10.3797	9.7122	9.1079	8.5595	8.0607	7.6061

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